Angelsta

A $8M pre-money can mean $7M.

The difference is the option pool.

ILLUSTRATIVE EXAMPLE

The round.

$2M invested at an **$8M pre-money**.
That makes $10M post-money.

The investor owns 20%.

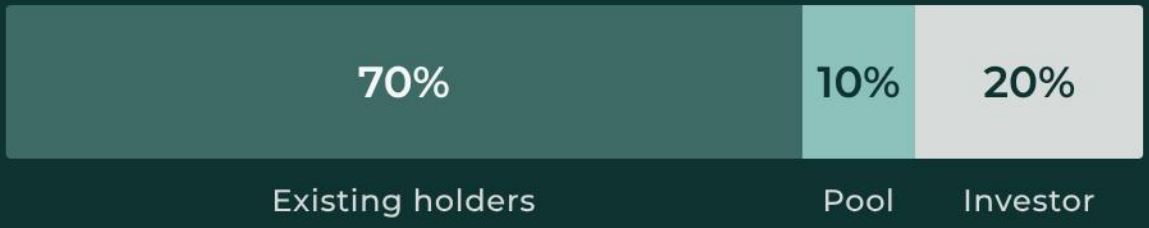
The pool.

The term sheet asks for a **10% unallocated pool**, measured post-money.

That is $1M of the $10M.

Who pays for it.

The pool is created before the new money comes in. It comes out of the people already on the cap table.



ILLUSTRATIVE EXAMPLE

The result.

Existing holders own 70%, not 80%.

Effective pre-money: **$7M**, not $8M.

The headline valuation names the round.

The pool shows what it costs.

Model the pool before you read the valuation.

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